NewsBank inc.

California lawmakers propose $400 rebate to offset rising prices

March 17, 2022 | Denver Gazette, The (CO)
Author: Ryan King, Washington Examiner | Section: Nation World | 364 Words
OpenURL Link

Californians struggling with soaring prices for gas and other goods could soon get a reprieve as the state Legislature mulls taxpayer rebates to offset the costs.

State lawmakers announced a proposal to give $400 to every taxpayer in the state on Wednesday, a plan that would tap into the state's $9 billion budget surplus to finance the measure, which aims to get the rebate to Californians by the spring.

"Today I was proud to stand with my colleagues in support of $400 rebate checks going out to all Californians to help ease the pain of rising gas prices and inflation. California must act immediately to help our residents through these challenging times," Assemblywoman Blanca Rubio tweeted.

WHITE HOUSE FUMES OVER STAGNANT GAS PRICES AS CRUDE OIL TUMBLES

Assemblywoman Cottie Petrie-Norris, who backed the legislation, said lawmakers arrived at the $400 by dividing the estimated cost of one year of a gas tax holiday among taxpaying Californians who would also receive the rebate — even counting those who do not own cars. The rebate is the better approach to rising gas prices because a gas tax holiday "offers no guarantee that oil companies would pass on the savings to customers," Petrie-Norris argued.

While prices at the pump have skyrocketed across the country, California has been hit the hardest, with gas prices averaging $5.78 in the state, according to the American Automobile Association. Gas prices began rising as COVID-19 restrictions cooled, but the war in Ukraine has seemingly added upward pressure on the costs. Prices at the pump, coupled with other swelling commodity prices amid supply chain concerns, pushed national inflation levels up to 10%.

CLICK HERE TO READ MORE FROM THE WASHINGTON EXAMINER

Newsom previously announced his intention to provide rebates to taxpayers in California to cushion the effects of the state's soaring gas prices but did not make a specific proposal public. Assemblyman Jesse Gabriel, who supported the bill, kept open the possibility the state would consider additional relief measures.

The rebate proposal counters a recently failed Republican effort in the state to enact a holiday on the gas tax, which charges about 51 cents per gallon.

Original Location: California lawmakers propose $400 rebate to offset rising prices

Washington Examiner Videos

© Copyright 2022 The Denver Gazette. All rights reserved.

- **Citation (apa Style)**
  King, R. (2022, March 17). California lawmakers propose $400 rebate to offset rising prices. *Denver Gazette, The (CO)*. Available from NewsBank: Access World News – Historical and Current: https://infoweb.newsbank.com/apps/news/document-view?p=WORLDNEWS&docref=news/188D1943A6C4CE00.